

CHAPTER 4

The Real Estate Trap

‘He is not a full man who does not own a piece of land.’

—Hebrew proverb

‘Many of the truths we cling to depend greatly on our point of view.’

—Obi-Wan Kenobi, legendary Jedi Master

(Star Wars: Episode VI—*Return of the Jedi*, 1983)

For most Indian investors, as for Mr Talwar and Mr Sanghvi, real estate remains the biggest asset by value in their portfolios. Both these gentlemen initially earned rich dividends from their investments in property but eventually faced major setbacks.

Its large transaction size and value have meant that real estate has remained one of the largest components in most investors’ portfolios. Most Indians associate property with safety, status and prestige, given the feudal traditions of our country. And yet, whilst real estate has traditionally been perceived as the safest asset class, it is anything but that. In this chapter, we will share how real estate becomes the biggest investment trap for investors.

The residential real estate quagmire

For Indians, owning a house is seen as one of the prime necessities of life: *roti, kapda aur makaan* are critical priorities as far as Indians are concerned. However, while the first two are affordable, the makaan has an element of